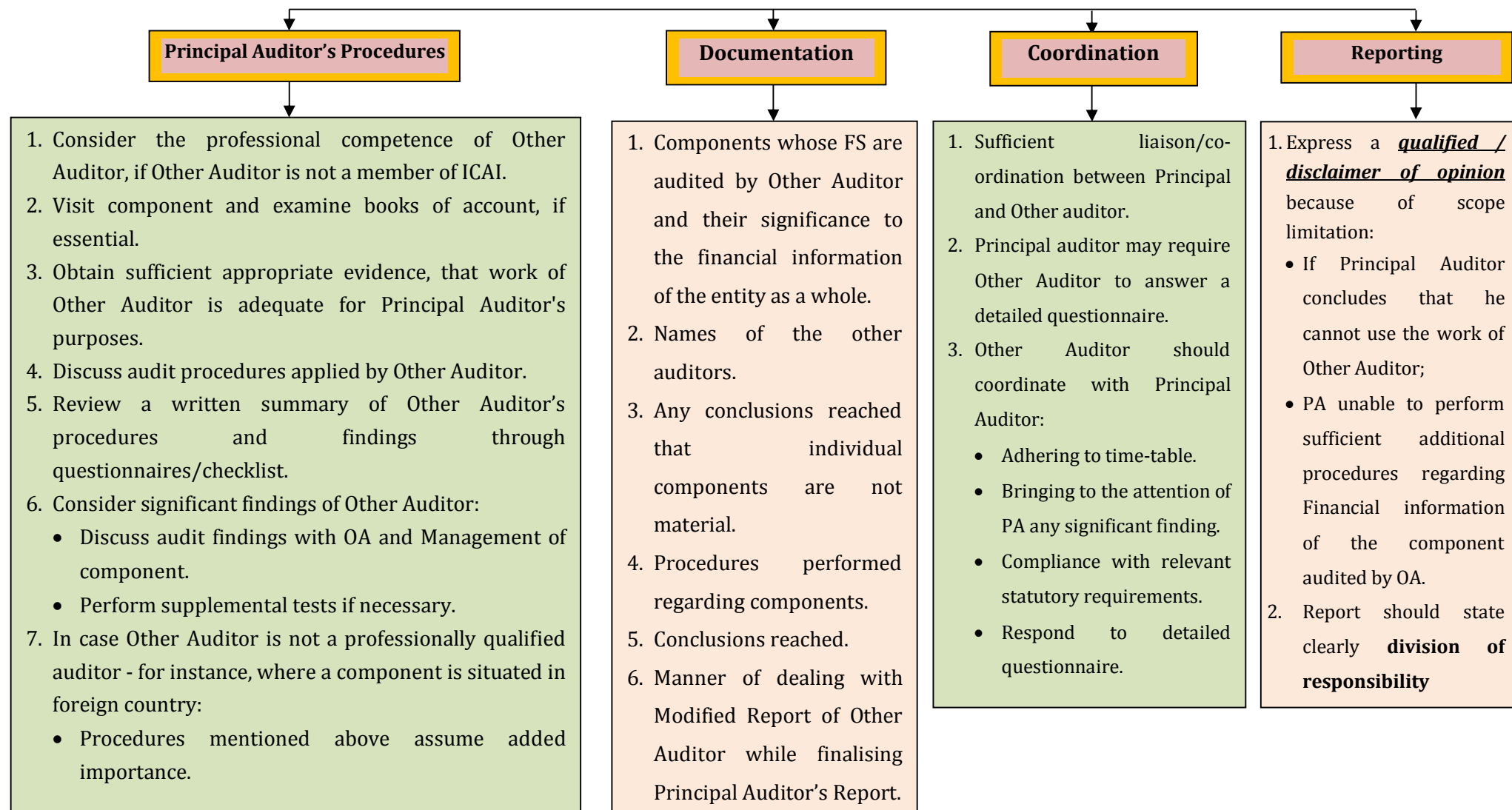


SA – 600 “Using the Work of Another Auditor”

Applicability: In situation where an auditor (principal auditor - PA), reporting on the financial information of an entity, uses the work of another auditor (other auditor - OA) w.r.t. to the financial information of one/more components (Division, Branch subsidiary, J. V. etc.), included in the financial information of the entity.

Non-applicability: (a) Joint auditors (b) Auditor's relationship with a predecessor auditor.



SA 610 (Revised) “Using the Work of Internal Auditors”

Meaning & scope of Internal Audit Function

Meaning

A function of an entity that performs assurance & consulting activities designed to evaluate and improve the effectiveness of the entity’s governance, risk management and internal control processes.

Scope of Internal Audit

1	Activities relating to governance.
2	Activities relating to Risk Management
3	Activities relating to Internal Control - Evaluation of Internal Control - Examination of Financial and operating information - Review of Operating Activities - Review of Compliance with Laws and Regulations

External Auditor’s Procedures w.r.t. Evaluation of Internal Audit Function

Determine Adequacy of Internal Audit Work for External Auditor’s Purpose

↓ by evaluating the following

- Objectivity of the internal auditors;
- Level of competency;
- Application of Systematic & disciplined approach

If Not Satisfactory

Do not use the work of internal Audit function.

If Satisfactory

Determine the Nature and extent of work of internal audit function that can be used.

Use the work of internal Audit Function

1. Discuss the planned use of work of internal Auditor.
2. Read the reports of the internal audit function relating to the work of the function that the external auditor plans to use to obtain an understanding of the nature and extent of audit procedures it performed and the related findings.
3. Perform sufficient audit procedures on work of internal audit function as a whole that external auditor plans to use to determine its adequacy for purposes of the audit.
4. Evaluate whether external auditor’s conclusions regarding internal audit function and the determination of the nature and extent of use of the work of the function for purposes of the audit remain appropriate.

Using Direct Assistance (DA) of Internal Auditors (IA)

1 Determining whether IA can be used to provide DA

If not prohibited by law or regulation, external auditor may use an internal auditor to provide direct assistance if:

- (a) There are no significant threats to objectivity of internal auditor; and
- (b) Internal auditor is sufficiently competent to perform proposed work.

2 Determining Nature & Extent of Work that can be assigned to IA

IA shall not be used to provide DA to perform procedures that:

- (a) Involve making **significant judgments** in the audit;
Significant judgments include the following:
 - Assessing the risks of material misstatement;
 - Evaluating the sufficiency of tests performed;
 - Evaluating appropriateness of management’s use of going concern assumption;
 - Evaluating significant accounting estimates; and
 - Evaluating the adequacy of disclosures in the F.S., and other matters affecting the auditor’s report
- (b) Relate to higher assessed risks of material misstatement;
- (c) Relate to work with which internal auditors have been involved; or
- (d) Relate to decisions, external auditor makes in accordance with this SA w.r.t. internal audit function & use of its work or direct assistance.

3 Using Direct Assistance of Internal Auditor

1. Prior to using internal auditors to provide direct assistance for purposes of the audit, the external auditor shall:
 - (a) Obtain written agreement from entity that the IA will be allowed to follow the external auditor’s instructions, and that the entity will not intervene in the work the IA performs; and
 - (b) Obtain written agreement from the IA that they will keep confidential specific matters as instructed by the external auditor and inform the external auditor of any threat to their objectivity.
2. The external auditor shall direct, supervise and review the work performed by IA on the engagement in accordance with SA 220.
3. The direction, supervision and review by the external auditor of the work performed by the IA shall be sufficient in order for the external auditor to be satisfied that the IA have obtained sufficient appropriate audit evidence to support the conclusions based on that work.

SA 620 “Using the Work of Auditor’s Expert”

Meaning of Auditor’s Expert

- An individual or organisation
- possessing expertise in field other than accounting/auditing,
- whose work is used by the auditor
- to assist the auditor in obtaining SAAE.

Areas where work of AE can be used

- Valuation of complex financial instruments, L & B, P & M, jewellery, works of art, antiques, intangible assets, assets acquired and liabilities assumed in business combinations and assets that may have been impaired.
- Actuarial calculation of liabilities associated with insurance contracts or employee benefit plans.
- Estimation of oil and gas reserves.
- Valuation of environmental liabilities, and site clean-up costs.
- Interpretation of contracts, laws and regulations.
- Analysis of complex or unusual tax compliance issues.

Procedures to be followed while using the work of auditor’s expert

1 Determining need for an Auditor’s Expert An auditor’s expert may be needed to assist the auditor for the followings: • Obtaining an understanding of entity & its environment, including IC. • Identifying and assessing the risks of material misstatement. • Determining & implementing overall responses to assessed risks. • Designing and performing further audit procedures to respond to assessed risks. • Evaluating the sufficiency and appropriateness of audit evidence obtained.	4 Agreement with Auditor’s Expert Need to be in writing and cover the followings: • Nature, scope and Objectives of Auditor’s Expert work. • Respective Role and Responsibilities of Auditor and auditor’s Expert. • NTE of Communication including form of report. • Confidentiality requirements to be observed by Auditor’s Expert.
2 Evaluate Competence, Capability and Objectivity of the Expert Source of Information for evaluation: • Personal Experience with previous work. • Discussion with that expert. • Discussion with other Auditors. • Knowledge of expert’s qualification, memberships, other forms of recognitions. • Published books or papers. • Auditor’s firm Q. C. Policies and Procedures.	5 Evaluate appropriateness of Expert work • Finding & Conclusion – Relevance, Reasonableness & Consistency with other A.E. • Assumptions and Methods – Relevance and Reasonableness. • Source Data – Relevance, Completeness and accuracy.
3 Obtain an understating of expert work • To enable the auditor to determine the nature, scope and objectives of that expert’s work for auditor’s purposes. • Evaluate the adequacy of that work for the auditor’s purposes.	6 Expert work not adequate for audit purposes • If Auditor concludes that work of auditor’s expert is not adequate for the auditor’s purposes and • auditor cannot resolve the matter through the additional audit procedures, • it may be necessary to express a modified opinion.

Reference to the Auditor’s Expert in the Auditor’s Report

- No reference required in case of unmodified Audit Report unless required by L & R.
- In case of modified reports, it may be appropriate to refer to the auditor’s expert, to explain the nature of the modification. In such case, auditor may need the permission of the auditor’s expert before making such a reference.